

ECONOMY TOPIC 20 - ASCII MASTER

Current-source cutoff: 9 September 2026

PANEL 01: TRADE LOGIC

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+-----+
| Comparative advantage = lower relative opportunity cost |
| Specialisation -> exchange -> aggregate gain           |
| Distribution, mobility and adjustment decide who gains  |
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PANEL 02: TERMS AND WELFARE

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| Terms of trade = export-price index / import-price index x 100 |
| Trade creation: high-cost domestic -> lower-cost partner      |
| Trade diversion: lower-cost outsider -> higher-cost preferred partner |
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PANEL 03: BORDER INSTRUMENTS

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| Ad valorem = percentage of value | Specific = fixed amount per unit |
| Quota fixes quantity and creates rent | TRQ uses two tariff tiers    |
| Subsidy legality depends on design, specificity and effects          |
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PANEL 04: STANDARDS AND REMEDIES

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| SPS = defined health/pest risks | TBT = other technical requirements |
| Anti-dumping = dumping + injury + causation                        |
| CVD = subsidy + injury | Safeguard = fair-trade surge + serious injury |
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PANEL 05: PROTECTION MEASURES

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| Nominal protection = final-product price wedge |
| Effective protection = change in domestic value added |
| Tariff escalation penalises later processing stages |
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PANEL 06: WTO ARCHITECTURE

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| GATT 1947 -> Marrakesh 1994 -> WTO 1995 |
| Ministerial Conference -> General Council/DSB/TPRB -> councils |
| Member-driven; consensus is normal |
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PANEL 07: CORE WTO PRINCIPLES

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| MFN = equal treatment among foreign partners |
| National treatment = imported versus domestic after entry |
| Bindings + transparency + negotiated reciprocity + agreement-specific S&DT |
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PANEL 08: WTO AGREEMENTS

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| GATT = goods | GATS = four service modes | TRIPS = IP standards |
| TRIMS = goods-related investment measures |
| AoA = market access + domestic support + export competition |
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PANEL 09: CURRENT WTO STATUS

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| Fisheries Subsidies Agreement in force: 15 September 2025 |
| Appellate Body unable to review appeals                    |
| WTO-wide e-commerce moratorium lapsed: 30 March 2026      |
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PANEL 10: REGIONAL INTEGRATION

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| FTA: separate external tariffs -> rules of origin          |
| Customs union: common external tariff | Common market: factor mobility |
| Origin = production test, not shipment route              |
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PANEL 11: INDIA STATUS MAP

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| UAE 2022 | Australia 2022 | EFTA 2025 | Oman 2026 | UK 2026: in force |
| EU: concluded 27 January 2026 | New Zealand: signed 27 April 2026      |
| India did not join RCEP in November 2019                        |
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PANEL 12: EXAM ANSWER ROUTE

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| Rule/instrument -> authority/status -> price and quantity transmission |
| -> firms/workers/consumers -> utilisation/value addition -> adjustment  |
| Verdict: predictable openness + targeted, reviewable resilience          |
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